AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

2 July 2026 · the qualitative

Instacart (Maplebear)

$44.83

NASDAQ : CART · Mature-Company DCF

$10.79B mkt cap · 241M sh · $690M cash, zero debt · Net cash +$0.69B, no debt; ~241M shares held ~flat as a $3.5B buyback (~35% of the market cap) offsets SBC dilution; Revenue $3.74B FY25 (+11%); GAAP op margin 13.3% (12.3→17.9% latest quarter); reported FCF ~$0.9B (heavy SBC add-back); Down ~5% YTD/TTM at ~$41 (52-wk $32.73-$53.50); screens ~11x reported FCF, ~2.7x EV/sales

THE CENTRAL QUESTION

Does Instacart's high-margin advertising flywheel keep compounding on a $10B+ GTV base, or does the delivery field and a low take rate cap the marketplace?

Instacart trades at ~$9.9B (~$41.25, ~-5% YTD) — ~11x reported FCF and ~2.7x EV/sales on $3.74B revenue (+11%), net cash, GAAP operating margin scaling 12.3→17.9%. The engine is ~80%-margin advertising compounding on a $10B+ GTV base, with a $3.5B buyback (~35% of the cap) offsetting SBC dilution so shares stay flat. The DCF asks whether high-margin ad revenue keeps scaling against DoorDash/Uber/Amazon/Walmart and a ~7% take rate. The finding: even pricing the competitive bear (-28%), the modal flywheel lands +57%, on reported FCF discounted to ~15-19% ex-SBC owner margin.

PROBABILITY-WEIGHTED EXPECTED VALUE

$65.05 expected fair value today

+45.1% vs spot $44.83

FORWARD COMPOUNDED VALUE

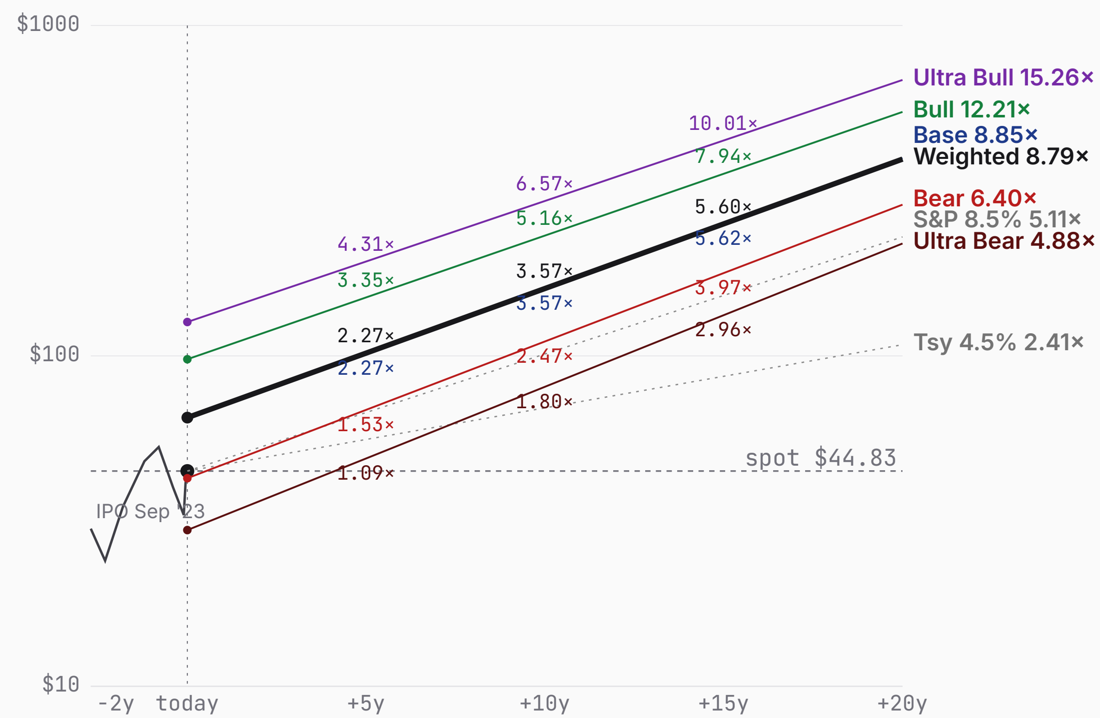
+5y	+10y	+15y	+20y
$101.97	$159.94	$250.98	$394.04
2.27× spot	3.57× spot	5.60× spot	8.79× spot

WEIGHTING RATIONALE

Ultra Bear 13% Ad growth stalls; delivery field wins; ~$29.71 (-28%).
Bear 27% GTV grows but take-rate caps upside; ~$42.64 (+3%).
Base 34% Ad flywheel scales; FCF margin to ~19%; ~$64.58 (+57%).
Bull 18% Retail-media platform; margin inflects; ~$97.69 (+137%).
Ultra Bull 8% Ad annuity compounds; FCF machine; ~$126.65 (+207%).

Bull (18%) + Ultra Bull (8%) together contribute $27.72 — 43% of the $65.05 expected value despite 26% combined probability. Today's spot ($44.83) sits 31% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$29.71	$42.64	$64.58	$97.69	$126.65
-33.7% vs spot	-4.9% vs spot	+44.1% vs spot	+117.9% vs spot	+182.5% vs spot
CAGR +2.8% WACC 10.5% CAGR +2.8% Prob 13%	CAGR +5.4% WACC 10.0% CAGR +5.4% Prob 27%	CAGR +10.0% WACC 9.5% CAGR +10.0% Prob 34%	CAGR +12.8% WACC 9.0% CAGR +12.8% Prob 18%	CAGR +16.0% WACC 8.8% CAGR +16.0% Prob 8%
Ad growth stalls; delivery field wins.	GTV grows; ad take-rate caps the upside.	Ad flywheel scales; FCF margin to ~19%.	Retail-media platform; margin inflects.	Ad annuity compounds; FCF machine.

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Instacart (Maplebear) scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 13% Bear 27% Base 34% Bull 18% Ultra Bull 8% · Weighted expected $65.05 (+45.1% vs spot)

ULTRA BEAR $29.71

-33.7% vs spot

Probability 13%

Ad growth stalls; delivery field wins.

WHY 13%

The genuine bear: the FY ad guide of 11-14% is a sharp deceleration from the 27% (2023) / 34% (2022) era, the field is deep-pocketed, and orders trail GTV. 13% weight on the flywheel failing on a contested base.

WHAT HAPPENS

The competitive bear bites: DoorDash, Uber Eats, Amazon and Walmart pull GTV and the ~7% take rate compresses, while advertising growth fades from its decelerating guide toward low-single-digit. Orders are already trailing GTV (+10% vs +13%), signalling a maturing, low-frequency marketplace; the ~80%-margin ad flywheel stops scaling and operating margin stalls in the low-teens.

A marketplace whose high-margin engine stops compounding earns a low terminal multiple → DCF ~$29.71 (-28%). Net cash and the buyback set a floor but cannot offset a stalled flywheel.

BEAR $42.64

-4.9% vs spot

Probability 27%

GTV grows; ad take-rate caps the upside.

WHY 27%

Share holds but the guided ad deceleration plus take-rate pressure cap the re-rate. 27% as the plausible 'leads but doesn't compound' path, given the 11-14% ad guide and orders trailing GTV.

WHAT HAPPENS

GTV keeps growing low-to-mid-single-digit but advertising decelerates as guided and the take rate stays structurally low, so the margin flywheel turns slowly: revenue compounds ~5% to ~$4.7B at a mid-teens ex-SBC FCF margin. The category lead holds, but the deep competitive set and a ~7% take rate cap the marketplace economics.

DCF ~$42.64 (+3%) - roughly fair. A leader whose high-margin engine grinds rather than compounds is worth about today's price; the cheap multiple is warranted if advertising only decelerates.

BASE $64.58

+44.1% vs spot

Probability 34%

Ad flywheel scales; FCF margin to ~19%.

WHY 34%

Requires advertising to keep scaling (and modestly re-accelerate) on a growing GTV base while operating leverage continues - consistent with Q1's +16% ad growth and the 12.3→17.9% margin move, but ahead of the 11-14% guide. 34% as the central outcome.

WHAT HAPPENS

The modal path: GTV compounds low-double-digit off the first >$10B quarter, advertising re-accelerates above its conservative guide as enterprise (Carrot, Caper smart carts) and retail-media density build, and the ~80%-margin ad mix lifts operating margin from ~13% toward the mid-20s. Ex-SBC owner FCF margin grinds from ~15% toward ~19% while the $3.5B buyback offsets SBC dilution and shares stay flat. Revenue compounds ~10% to ~$5.7B.

DCF ~$64.58 (+57%) - the high-margin advertising engine compounding on a durable GTV base re-rates the franchise off ~11x reported FCF; the core of the thesis. The cash bridge adds net cash and the modal terminal multiple does the rest.

BULL $97.69

+117.9% vs spot

Probability 18%

Retail-media platform; margin inflects.

WHY 18%

The purchase-data ad engine plus enterprise integrations make a genuine advertising re-acceleration credible. ~18% weight on the retail-media inflection landing.

WHAT HAPPENS

Advertising re-accelerates decisively: Instacart becomes a retail-media platform where ~80%-margin ad dollars compound faster than GTV, enterprise tech (Carrot, Caper, ALDI-type partnerships) widens the moat, and operating margin inflects toward ~28% with ex-SBC FCF margin toward ~22%. Revenue compounds ~13% to ~$6.6B.

DCF ~$97.69 (+137%) - if the flywheel converts the GTV base into a durable high-margin ad annuity, the de-rated entry re-rates with the fundamentals; this is the core of the bull.

ULTRA BULL $126.65

+182.5% vs spot

Probability 8%

Ad annuity compounds; FCF machine.

WHY 8%

Everything works - GTV AND ad re-acceleration AND enterprise AND a multiple re-rate, the retail-media-platform outcome. ~8%, the long-duration tail.

WHAT HAPPENS

The full second act: advertising scales into a dominant retail-media network, enterprise/Carrot tech becomes a category standard, and the ~80%-margin ad annuity compounds GTV into a true FCF machine at a ~24% ex-SBC margin and ~31% operating margin. The buyback keeps shrinking the float against flat SBC. Revenue compounds ~15% to ~$7.5B.

DCF ~$126.65 (+207%) - the franchise reclaims a platform compounder multiple; ~8% probability, the asymmetric upside the depressed entry is buying.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

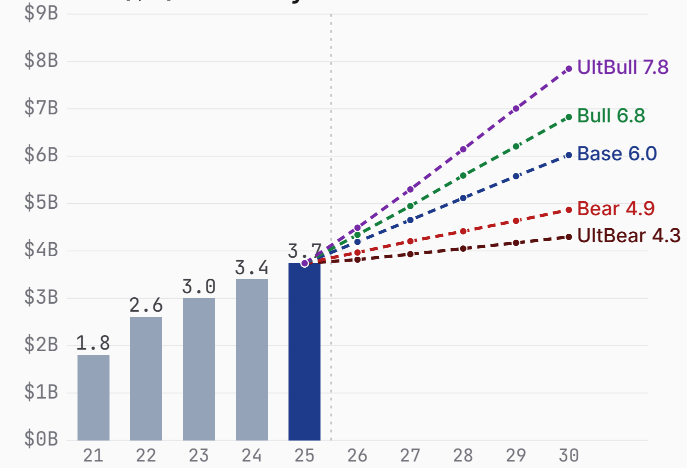
2 July 2026 · the snapshot

Instacart (Maplebear) business snapshot

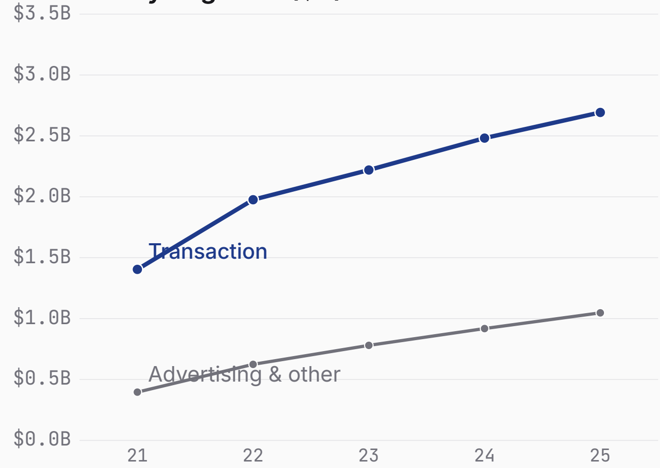
Bear $42.64 Base $64.58 Bull $97.69

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · Q1-2026 (May'26) results

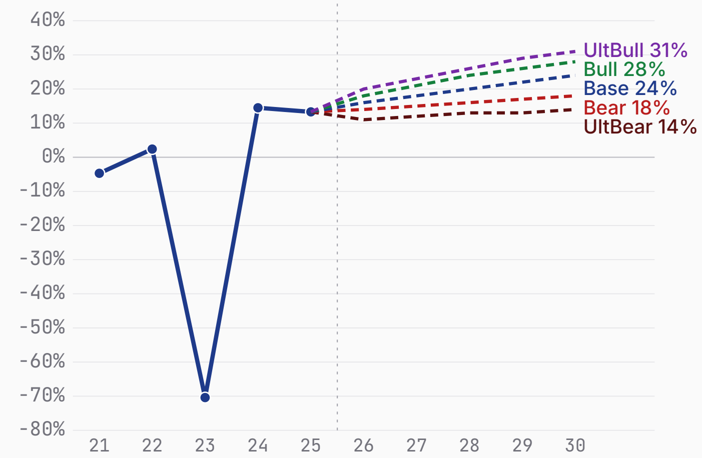
Revenue ($B) — history + scenarios to FY30



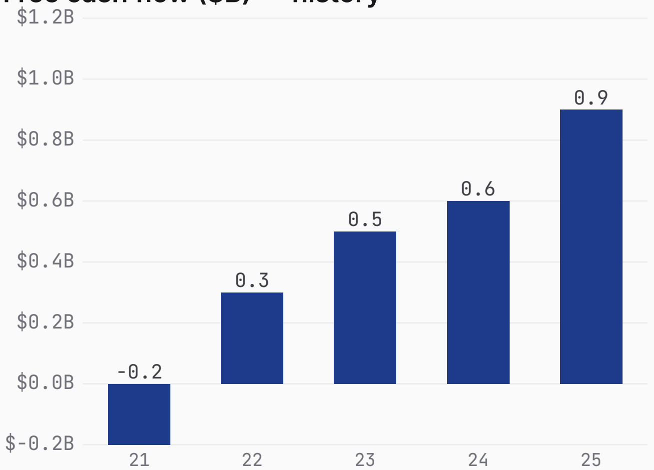
Revenue by segment ($B)



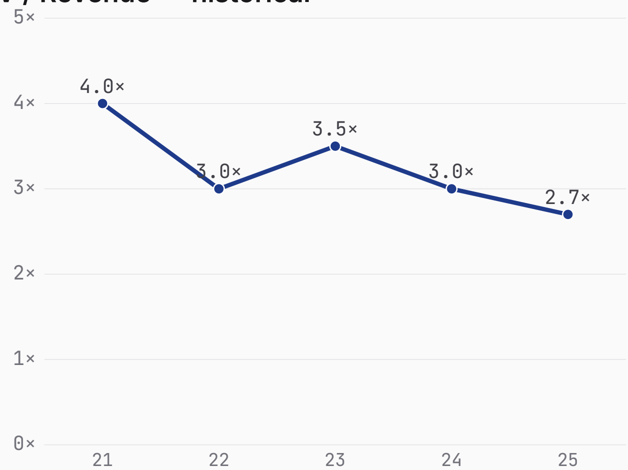
Op margin — history + scenarios



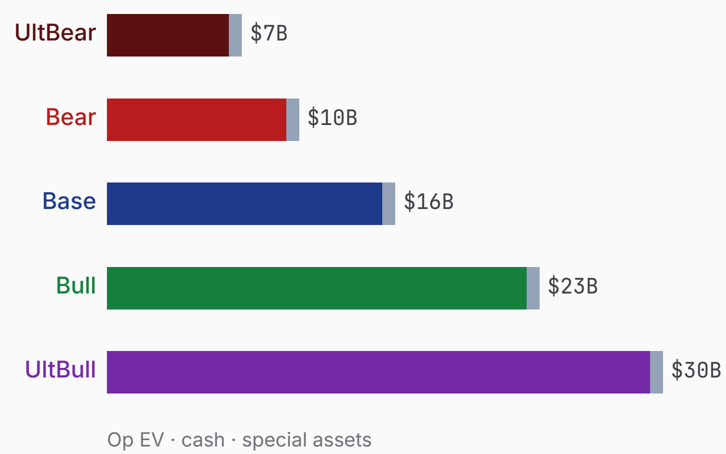
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: SEC XBRL company facts (CIK 1579091, Maplebear Inc), Instacart Q1-2026 release (May 6: GTV $10.29B +13% first >$10B, revenue $1.02B +14% with transaction $733M / advertising & other $286M +16%, orders 91M +10%, GAAP op margin 17.9%, FCF $253M, $3.5B buyback). Revenue is a growth path off FY25; FCF = revenue x FCF margin (ex-SBC owner FCF ~15-19%); Gordon terminal. Multiples vs DoorDash/Uber/Amazon/Walmart.

Instacart (Maplebear) 7 Powers · the moat, scored

Bear $42.64 Base $64.58 Bull $97.69

Arena. Online grocery delivery + retail media - Instacart (category leader, $10B+ GTV, ~80%-margin advertising, enterprise/Carrot tech) vs DoorDash, Uber Eats, Amazon and Walmart; auditing a two-sided network Power and a nascent ad-data cornered resource against a deep-pocketed field and a low take rate.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies (3/3)
Largest pure-play grocery-delivery GTV ($10B+/qtr) gives sourcing/logistics density and retail-media reach, but Amazon/Walmart/Uber operate at far greater corporate scale.

Network Economies · thesis leans here (3/3)
The dominant Power: a two-sided retailer/shopper marketplace - more retailers and selection pull more consumers, whose orders pull more retailers and brand ad dollars; a genuine, if contestable, flywheel.

Counter-Positioning (1/3)
Was the asset-light shopper-network disruptor; now the incumbent the delivery field is attacking, not counter-positioning.

Switching Costs (2/3)
Enterprise integrations (Carrot e-commerce, Caper carts) embed Instacart in retailer operations; consumer switching is low, but the B2B tech is sticky.

Branding (2/3)
Strong category association ('Instacart' = grocery delivery) but not pricing power; convenience, not brand, drives the order.

Cornered Resource (3/3)
A nascent cornered resource: first-party grocery purchase data across the retailer network feeds the ~80%-margin ad engine - the hardest input for rivals to replicate, but early and contestable.

Process Power (2/3)
Shopper-routing, fulfilment and ad-targeting systems are real operating know-how; meaningful but not a decisive, hard-to-copy edge.

PEER SET

DoorDash (DASH) — 20% gr · 4% mgn · ~33x EV/FCF
Larger logistics network expanding aggressively into grocery + retail media; the primary delivery-field threat to GTV and ad share.

Uber Eats (UBER) — 18% gr · 8% mgn · ~14x EV/FCF
Global delivery scale + advertising push; Uber Eats grocery directly contests Instacart's lane.

Amazon — 10% gr · 11% mgn · ~30x EV/FCF
Whole Foods + Amazon Fresh + Prime + a dominant retail-media machine; the deepest-pocketed structural threat to both legs.

Walmart — 5% gr · 4% mgn · ~30x P/E
Walmart+ delivery + the fastest-growing rival retail-media network (Walmart Connect); scale and grocery primacy pressure the take rate.

THREAT VECTORS · FALSIFIERS

Network Economies · DoorDash / Uber Eats / Amazon / Walmart
`falsifier:` GTV growth slows and orders keep trailing GTV as the deep-pocketed field pulls shoppers and retailers off the platform.

Cornered Resource · Amazon / Walmart retail media
`falsifier:` Advertising decelerates into single digits as brand ad dollars flow to larger first-party retail-media networks.

Scale Economies · Grocer DTC + delivery-field take-rate pressure
`falsifier:` The ~7% take rate compresses as retailers build their own fulfilment or the field undercuts the marketplace cut.

> **COMPETITIVE READ**
> Instacart's network Power is genuine - the largest pure-play grocery-delivery GTV ($10B+/qtr) running a two-sided retailer/shopper marketplace that feeds a nascent cornered resource (first-party purchase data → an ~80%-margin ad engine) and is stickied by enterprise integrations (Carrot, Caper). But the field is the deepest-pocketed in retail - DoorDash, Uber, Amazon, Walmart - and the ~7% take rate plus a guided ad deceleration (11-14% vs the 27%/34% era) are the live threats. The Audit: network_economies is durable but contestable (medium), the ad-data cornered resource is the real prize if it compounds, and the swing factor is whether high-margin advertising keeps scaling on the GTV base. The DCF tests exactly that - and even the competitive ultra-bear is -28% while the modal flywheel lands +57%, with reported FCF honestly discounted to ~15-19% ex-SBC owner margin and the $3.5B buyback offsetting dilution.

Instacart (Maplebear) show your work

Bear $42.64 Base $64.58 Bull $97.69 · Weighted $65.05 (+45.1%)

ULTRA BEAR $29.71

ASSUMPTIONS

5y revenue CAGR (%)	+2.8
Year-5 op margin (%)	14.0
WACC (%)	10.5
Terminal growth (%)	2.5
5y revenue CAGR (%)	+2.8
Starting revenue ($B)	3.74
Scenario probability (%)	13

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.82	+11%	+0.42	+0.38
FY27	3.93	+12%	+0.47	+0.39
FY28	4.05	+13%	+0.53	+0.39
FY29	4.17	+13%	+0.54	+0.36
FY30	4.30	+14%	+0.60	+0.36

Σ PV explicit FCF	+1.89
+ PV terminal (g 2.5%)	4.67

EQUITY BUILD · $B & PER SHARE

Operating EV	$6.56B
+ Cash & investments	$0.69B
= Equity value	$7.25B
FY30 shares (M)	244
= Expected per share	$29.71

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$48.95	$80.64	$132.84	$218.85
1.09×	1.80×	2.96×	4.88×

BEAR $42.64

ASSUMPTIONS

5y revenue CAGR (%)	+5.4
Year-5 op margin (%)	18.0
WACC (%)	10.0
Terminal growth (%)	3.0
5y revenue CAGR (%)	+5.4
Starting revenue ($B)	3.74
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.97	+14%	+0.56	+0.51
FY27	4.20	+15%	+0.63	+0.52
FY28	4.41	+16%	+0.66	+0.50
FY29	4.64	+17%	+0.74	+0.51
FY30	4.87	+18%	+0.78	+0.48

Σ PV explicit FCF	+2.51
+ PV terminal (g 3.0%)	7.12

EQUITY BUILD · $B & PER SHARE

Operating EV	$9.63B
+ Cash & investments	$0.69B
= Equity value	$10.32B
FY30 shares (M)	242
= Expected per share	$42.64

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$68.67	$110.60	$178.12	$286.86
1.53×	2.47×	3.97×	6.40×

BASE $64.58

ASSUMPTIONS

5y revenue CAGR (%)	+10.0
Year-5 op margin (%)	24.0
WACC (%)	9.5
Terminal growth (%)	3.0
5y revenue CAGR (%)	+10.0
Starting revenue ($B)	3.74
Scenario probability (%)	34

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.19	+16%	+0.63	+0.57
FY27	4.65	+18%	+0.74	+0.62
FY28	5.12	+20%	+0.87	+0.66
FY29	5.58	+22%	+1.00	+0.70
FY30	6.02	+24%	+1.15	+0.73

Σ PV explicit FCF	+3.28
+ PV terminal (g 3.0%)	11.53

EQUITY BUILD · $B & PER SHARE

Operating EV	$14.81B
+ Cash & investments	$0.69B
= Equity value	$15.50B
FY30 shares (M)	240
= Expected per share	$64.58

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$101.66	$160.04	$251.95	$396.63
2.27×	3.57×	5.62×	8.85×

BULL $97.69

ASSUMPTIONS

5y revenue CAGR (%)	+12.8
Year-5 op margin (%)	28.0
WACC (%)	9.0
Terminal growth (%)	3.5
5y revenue CAGR (%)	+12.8
Starting revenue ($B)	3.74
Scenario probability (%)	18

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.34	+18%	+0.74	+0.68
FY27	4.95	+21%	+0.89	+0.75
FY28	5.59	+24%	+1.12	+0.86
FY29	6.21	+26%	+1.30	+0.92
FY30	6.83	+28%	+1.50	+0.98

Σ PV explicit FCF	+4.19
+ PV terminal (g 3.5%)	18.37

EQUITY BUILD · $B & PER SHARE

Operating EV	$22.56B
+ Cash & investments	$0.69B
= Equity value	$23.25B
FY30 shares (M)	238
= Expected per share	$97.69

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$150.31	$231.27	$355.83	$547.49
3.35×	5.16×	7.94×	12.21×

ULTRA BULL $126.65

ASSUMPTIONS

5y revenue CAGR (%)	+16.0
Year-5 op margin (%)	31.0
WACC (%)	8.8
Terminal growth (%)	3.5
5y revenue CAGR (%)	+16.0
Starting revenue ($B)	3.74
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.49	+20%	+0.81	+0.74
FY27	5.30	+23%	+1.06	+0.90
FY28	6.15	+26%	+1.35	+1.05
FY29	7.01	+29%	+1.61	+1.15
FY30	7.85	+31%	+1.88	+1.24

Σ PV explicit FCF	+5.07
+ PV terminal (g 3.5%)	24.13

EQUITY BUILD · $B & PER SHARE

Operating EV	$29.20B
+ Cash & investments	$0.69B
= Equity value	$29.89B
FY30 shares (M)	236
= Expected per share	$126.65

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$193.09	$294.37	$448.79	$684.20
4.31×	6.57×	10.01×	15.26×

Instacart (Maplebear) People · Opportunity · Context · Deal

Bear $42.64 Base $64.58 Bull $97.69

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Chris Rogers

0 yrs in seat

60% insider ownership

MEDIUM key-person risk

Capital allocation (realized)
No dividend. Aggressive buyback: authorization expanded to $3.5B (Q1 2026, up from $2.5B); ~9.37M shares retired for ~$402M in Q1 2026, and net share count fell ~280M (Sep-2023 IPO) to ~235M (2026) despite SBC. Bolt-on M&A only (Caper AI smart carts, Eversight, Wynshop). FY2025 GAAP-profitable (Q1 2026 GAAP net income $144M).

Incentive alignment
CEO Rogers 2025 package ~$1.37M base + ~$15M performance-vesting equity. Heavy SBC, now normalized post-IPO and outpaced by buyback: FY2023 $2,756M SBC was a one-time IPO RSU recognition; FY2024 $300M, FY2025 $352M (~3.5% of revenue). IPO equity overhang largely cleared.

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no dual-class / super-voting / sunset (the pre-IPO multi-class converted at the 2023 IPO)
- combined Chair + CEO since Nov 2025 (Rogers holds both); Lily Sarafan is Lead Independent Director; 9-member board, majority independent
- brand-new CEO: Chris Rogers (eff. Aug 2025, ex-CBO / ex-Apple) succeeded Fidji Simo, who left to be OpenAI CEO of Applications and resigned the board Nov 2025
- founder Apoorva Mehta cut all ties at the Sep-2023 IPO — retains ~8.8% as a passive holder, off the board
- concentrated VC board influence: Sequoia (Gupta, Moritz) and D1 (Sundheim); the ~60% insider-group figure is VC-driven, not management skin-in-the-game

THE FOUR LEGS

People ●●●○○
observable composite · 1–5

Opportunity
The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market purchase = the deal: entry price vs. the scenario distribution (the +57.7% finding) + position sizing.

> **PEOPLE READ**
> Clean one-share-one-vote governance and a shareholder-friendly buyback (net share count falling despite SBC), offset by a brand-new combined Chair/CEO (Rogers, sub-1-year tenure) and concentrated VC board influence; founder Mehta is fully gone (~8.8%, passive).

Instacart (Maplebear) supporting analysis · disclaimers · glossary

Bear $42.64 Base $64.58 Bull $97.69

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **~11x FCF for an 80%-margin ad engine on a $10B+ GTV base.**
Net-cash, op margin scaling 12.3→17.9%, advertising +16% - priced like a delivery app, not a retail-media platform; the modal DCF is +57%.

2 **The buyback is worth ~35% of the market cap.**
$3.5B authorized, $349M repurchased in Q1; it offsets SBC dilution so shares stay flat and ex-SBC owner FCF accrues per-share.

3 **Reported FCF flatters the picture.**
~$0.9B reported FCF includes a heavy SBC add-back (~$93M/qtr); the base models ex-SBC owner FCF at ~15-19%, not the headline ~11x.

4 **Advertising is the whole thesis - and it is decelerating.**
~80%-margin ad revenue grew +16% in Q1 but is guided to 11-14%; whether it re-accelerates on the GTV base is the bull/bear fork.

5 **Cornered purchase data feeds the ad engine.**
First-party grocery purchase data across the retailer network is the hardest input for the delivery field to replicate - a nascent cornered resource.

FALSIFICATION TRIGGERS

Bull validation

advertising re-accelerates above the 11-14% guide · ad revenue compounds faster than GTV · GAAP op margin holds >=18% · enterprise (Carrot/Caper) wins named retailers · buyback keeps shares flat-to-down

Bear validation

advertising decelerates into single digits · the ~7% take rate compresses · orders keep trailing GTV (frequency stalls) · GTV growth slows as DoorDash/Amazon/Walmart take share · op margin stalls in the low-teens

Reframe needed

if advertising growth converges to GTV growth (no high-margin premium) or the take rate erodes structurally, the flywheel is gone - re-rate the terminal toward a low-margin, contested delivery marketplace multiple

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

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Forward-looking statements.

Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

Author may hold positions.

The author may own, intend to acquire, or hold short exposure to $CART or related securities at any time. Positions may change without notice and without an update to this document. Do not assume the author's positions match the tone of the analysis.

Do your own research.

Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

GTV — Gross transaction value - total spend across the platform (groceries + fees + tips), $10.29B in Q1 (+13%, first >$10B); the base the ~7% take rate and ad engine monetize.

Take rate — Transaction revenue / GTV (~7.1%); structurally low for grocery delivery and a key bear lever - the marketplace's cut of each order before advertising.

Advertising & other — High-margin (~80%) retail-media revenue ($286M in Q1, +16%) from brands paying for placement against purchase data - the flywheel and swing factor; guided to decelerate to 11-14%.

Enterprise (Carrot / Caper) — Instacart's technology sold to retailers - the Carrot e-commerce stack and Caper AI smart carts - extending the platform beyond delivery and feeding the data/ad engine; the switching-cost lever.

FCF margin — Free cash flow / revenue; the mature-DCF swing factor - the base models ex-SBC owner FCF (~15-19%), below the ~24% reported, with the $3.5B buyback offsetting SBC dilution.